

collateral, and when the dust settled, some big institution was holding onto his cash. It took years before his capital was returned.

So was Corzine an expert? Well, yes, he was in the sense that he knew a lot about bond trading and bond markets, and how to run a proprietary bond trading business for Goldman Sachs. But he wasn't an expert in the sense that as the CEO of MF Global, he bankrupted it by entering into an overleveraged repo bond trade. Arguably, by definition, financial experts aren't supposed to bankrupt their firms.

As with the earlier case of Victor Niederhoffer, who bankrupted one fund, and nearly bankrupted a second fund, we again see how relying on someone who is supposedly an expert can lead to an outcome that is simply not supposed to happen when an expert is in charge.

The Evidence Shows...^{[2](#)}

As we discussed in the last chapter, the expert's hypothesis states that human experts can beat simple models. To substantiate the argument that the expert's hypothesis is false, we stand on the shoulders of academic researchers, who have studied this hypothesis for over half a century.

To give readers a flavor for how academic research has studied the relative performance of models versus experts, we introduce a study on parole recidivism predictions.^{[3](#)} The study was facilitated by a partnership between a group of academic researchers and the Pennsylvania Board of Probation and Parole to identify ways to make the parole process more accurate, fair, and cost-effective. Professor Carroll and his team set up the experiment as follows:

- *Experts Parole Board*: Equip human parole officers with information to make parole board decisions based on quantitative and qualitative information. This information included interviews with parolees, interviews with people known by the parolee, information on past criminal history, demographics, and so forth.
- *Model Parole Board*: Create a simple predictive model based on simple factors. The baseline model is focused on three areas: offense type; number of past convictions; and number of prison rule violations.